



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the six Months ended 30 September 2019

ORIENT FINANCE PLC
INCOME STATEMENT

For the

	03 Months Ended 30th September		06 Months Ended 30th September	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	804,810,965	868,276,956	1,632,130,553	1,695,880,701
Interest income	750,025,092	792,373,518	1,527,670,629	1,568,801,733
Interest expenses	(457,150,641)	(487,595,058)	(950,393,598)	(980,763,828)
Net interest income	292,874,451	304,778,460	577,277,031	588,037,905
Fee and commission income	37,167,789	46,494,736	74,626,287	88,319,545
Other operating income	17,618,084	29,408,702	29,833,637	38,759,423
Total operating income	347,660,324	380,681,898	681,736,955	715,116,873
Impairment charges for loans and receivables to customers	(231,682,182)	(86,926,819)	(429,733,145)	(228,388,271)
Net operating income	115,978,142	293,755,079	252,003,810	486,728,602
Operating expenses				
Personnel expenses	(112,874,845)	(100,175,845)	(225,072,683)	(197,279,242)
Depreciation and amortization	(8,420,321)	(6,642,722)	(16,621,393)	(12,713,278)
Other operating expenses	(122,123,182)	(118,317,941)	(237,877,295)	(220,410,398)
Operating profit/(loss) before Value Added Tax and	(127,440,206)	68,618,571	(227,567,561)	56,325,684
Value Added Tax and NBT on financial services	(2,859,260)	(18,740,725)	(5,968,388)	(27,700,562)
Profit/(loss) before income tax	(130,299,466)	49,877,846	(233,535,949)	28,625,122
Income tax expense	-	-	-	-
Profit/(loss) for the period	(130,299,466)	49,877,846	(233,535,949)	28,625,122
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	(3,504,927)	(840,101)	6,175,605	16,613
Total comprehensive income/(expenses) for the period net of tax	(133,804,393)	49,037,745	(227,360,344)	28,641,735
Weighted Average Earnings Per Share (Rs.)	(0.87)	0.34	(1.56)	0.19
Diluted earnings per share (Rs.)	(0.87)	0.34	(1.56)	0.19

Figures in brackets indicate deductions.

Colombo
15th November 2019

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

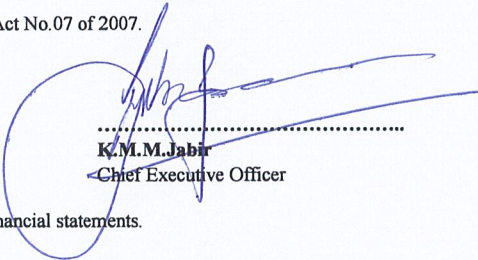
As At

	30th September 2019	31st March 2019
	Rs.	Rs.
ASSETS		
Cash and cash equivalents	114,881,395	181,741,883
Financial assets - fair value through other comprehensive income	944,207,761	936,939,610
Loans and receivables	12,991,199,782	14,033,759,660
Investments with banks and other financial institutions	184,614,810	286,253,330
Other assets	240,645,617	252,392,826
Real estate stock	16,772,709	16,772,709
Deferred tax asset	371,088,940	371,088,939
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	1,975,920	1,505,430
Property, plant and equipment	78,211,187	78,163,766
Investment properties	532,849,999	400,600,002
Total assets	16,276,873,865	17,359,643,901
LIABILITIES		
Due to banks - bank overdrafts	384,364,149	610,624,135
Deposits from customers	9,655,207,923	10,479,531,283
Interest bearing borrowings	2,233,048,745	2,091,868,611
Term debts	1,019,543,846	1,012,265,985
Redeemable preference shares	-	512,216,926
Other liabilities	519,041,453	436,331,176
Retirement benefit obligations	50,123,609	50,305,976
Total liabilities	13,861,329,725	15,193,144,092
EQUITY		
Stated capital	1,925,236,265	1,378,689,779
Statutory reserve fund	306,478,542	306,478,542
Revaluation reserve	141,120,773	141,120,773
Fair value reserve	7,244,636	1,069,031
Retained earnings	35,463,924	339,141,684
Total equity	2,415,544,140	2,166,499,809
Total equity and liabilities	16,276,873,865	17,359,643,901
Net assets per share	13.73	14.64

Figures in brackets indicate deductions.

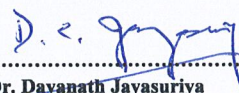
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

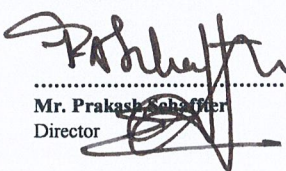

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Sanjeeva Jayasinghe
Head of Finance


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K.M.M. Jabir
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.


.....
Dr. Dayanath Jayasuriya
Chairman


.....
Mr. Prakash Subash
Director

Colombo
15th November 2019

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 30th September

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Available for sale reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2018	1,378,689,779	305,274,930	112,291,899	213,964	-	551,579,875	2,348,050,447
Profit/(Loss) for the year	-	-	-	-	-	28,625,122	28,625,122
Other comprehensive income (expense) net of taxes	-	-	-	16,613	-	-	16,613
Transfer to statutory reserve	-	5,725,024	-	-	-	(5,725,024)	-
Balance as at 30th Sep 2018	1,378,689,779	310,999,954	112,291,899	230,577	-	574,479,973	2,376,692,182
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773		1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the year	-	-	-	-	-	(233,535,949)	(233,535,949)
Other comprehensive income (expense) net of taxes	-	-	-	-	6,175,605	-	6,175,605
<u>Transactions with Equityholders</u>							
Conversion of Preference Share Capital to Ordinary Shares	470,038,111	-	-	-	-	-	470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375	-	-	-	-	-	76,508,375
Write off of share premium generated in share conversion	-	-	-	-	-	(70,141,811)	(70,141,811)
Balance as at 30th Septembe 2019	1,925,236,265	306,478,542	141,120,773	-	7,244,636	35,463,924	2,415,544,140

Figures in brackets indicate deductions.

Colombo
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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 30th September

	2019	2018
	Rs.	Rs.
		Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	(233,535,949)	28,625,122
Adjustment for:		
Depreciation/amortization	16,621,393	12,399,618
Loss on disposal of property, plant and equipment	(98,192)	(39,130)
Impairment charges for loans and receivables to customers	429,733,145	228,388,271
Finance expenses	950,393,598	980,763,828
Investment income	(59,893,142)	(88,847,022)
Provision for gratuity	8,400,002	7,000,001
Operating profit/(Loss) before working capital changes	1,111,620,855	1,168,290,688
Change in loans and receivables to customers	480,576,736	141,828,733
Change in other assets	11,747,209	(33,448,460)
Change in deposits from customers	(809,232,346)	(585,525,862)
Change in other liabilities	70,255,425	41,493,711
	864,967,879	732,638,810
Interest paid	(950,305,424)	(911,956,151)
Gratuity paid	(8,726,885)	(1,430,507)
Net cash from/(used in) operating activities	(94,064,430)	(180,747,848)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(16,668,823)	(18,047,223)
Proceeds from sale of property, plant and equipment	-	48,331
Net change in available for sale financial assets	(1,092,546)	(17,034,959)
Net change in investments with bank and other financial institutions	101,638,520	404,568,393
Investment income received	59,893,142	88,847,022
Net cash generated from/(used in) investing activities	143,770,293	458,381,564
Cash flows from financing activities		
Interest bearing borrowings obtained	3,920,644,366	659,605,514
Repayment of interest bearing borrowings	(3,765,671,404)	(1,054,076,180)
Interest paid on debentures	(45,126,027)	(45,126,027)
Repayment of Preference Share Capital	(153,300)	-
Net cash generated from/(used in) financing activities	109,693,635	57,090,896
Net change in cash and cash equivalents	159,399,498	(162,113,026)
Cash and cash equivalents at the beginning of the Period	(428,882,252)	57,090,896
Cash and cash equivalents at the end of the Period (Note A)	(269,482,754)	(105,022,130)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	103,684,205	133,293,858
Cash at bank	11,197,190	13,557,589
Bank overdrafts - secured	(384,364,149)	(251,873,577)
	(269,482,754)	(105,022,130)

Figures in brackets indicate deductions.

Colombo
15th November 2019

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2019. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 The Company has converted preference shares of the company to 23,993,778 Ordinary Shares at the ratio of six (06) Ordinary Shares for every one (01) Preference Share at a value of LKR19.59 per Ordinary Share. Additionally 3,905,481 fully paid shares would be issued in respect of preference share dividend amounting to Rs.76,478,108.00 calculated at LKR 19.59 per Ordinary Share. The Ordinary Shares so issued have been listed in the Colombo Stock Exchange (CSE) on 11th September 2019, in addition to the 148,018,370 Ordinary Shares of the Company currently listed in the CSE.
- 4 All known expenses have been provided for in these Financial Statements.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2019.

Listed Debenture Information

Debenture	30-Sep-19 Rs	30-Sep-18 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	<u>1,000,000,000</u>	<u>1,000,000,000</u>
Debenture 02	30-Sep-19	30-Sep-18
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.11	6.43
Interest Coverage Ratio (Times)	1.24	1.02
Liquid Asset Ratio	7.45%	8.53%
Interest Rate of comparable Government Securities	7.73%	9.60%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*
* N/T -	Not Traded	

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	30-Sep-19	30-Sep-18
Value of Ordinary Shares (Rs.)	1,925,236,265	1,378,689,780
No. of Ordinary Shares	175,917,629	148,018,370
Share Price During the Period	For the Quarter Ended	
	30-Sep-19	30-Sep-18
Highest (Rs)	15.80	15.00
Lowest (Rs)	11.90	10.50
Closing (Rs)	13.60	12.00

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 30 September 2019**

	Name	No. of Shares	%
1	Janashakthi PLC Account No 01	160,827,958	91.42
2	First Capital PLC	2,138,239	1.22
3	Mr. L.P.Mendis	566,495	0.32
5	Mr. R.A.B.K.Kumara	500,000	0.28
6	Seylan Bank Plc/ S.R. Fernando	493,505	0.28
7	Mr. K.S.S. Peris	382,064	0.22
8	Mr.N.L.S.Fernando	377,677	0.21
9	Mr. A.S.A.Fernando	330,000	0.19
10	M/S Commercial Credit And Finance Plc	330,000	0.19
11	Seylan Bank PLC/ K.L.G.Udayanda	231,375	0.13
12	Mr. G.A.C.De Silva	211,000	0.12
13	Mr.M.K.De Livera	207,628	0.12
14	M/S Merchant Bank of Sri Lanka & Finance PLC/ R.R.S.Ananda	203,330	0.12
15	Mr. R.M.P. Dayawansa	200,865	0.11
16	Mr. S.D.S. Gunasekera	200,000	0.11
17	Mrs. M. N. S. Fernando	195,523	0.11
18	M/S Merchant Bank of Sri Lanka & Finance PLC/ D.L.J. Priyadarshana	191,903	0.11
19	Mr.R.E.Rambukwella	168,596	0.10
19	M/S Merchant Bank of Sri Lanka & Finance PLC	162,517	0.09
21	Mr. A.T.Abeyasinghe	141,330	0.08
	Others	7,857,624	4.47
	Total	175,917,629	100.00

Directors' Shareholding as at 30th September 2019

	Name of the Director	No. of Shares	%
1	Dr. D.C. Jayasuriya PC - Chairman	-	-
2	Mr. Prakash Schaffter	10	-
3	Mr. K. M. A. T. B. Tittawella	-	-
4	Ms. Minette D. A. Perera	-	-
5	Ms. Indrani Goonesekera	-	-
6	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
7	Mr. Sriyan Cooray	-	-
	Total	20	

CEO's Shareholding as at 30 September 2019

Mr. Jude Anthoney	-	-
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Public Holding as at 30 September 2019

	12,951,292
Number of Public Shareholders	1,009
Public Shareholding Percentage	7.36%
Float Adjusted market capitalization (Rs)	176,086,510

According to the option 2 of 7.13.1 (b) of the listing rules the company is non compliant with the minimum public holding requirement as at 30 September 2019. An exemption by the CSE has been granted in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement up to 4th June 2020.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

38. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th September	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Interest income	1,164,514,497	1,191,611,465	176,148,971	251,933,399	31,183,872	71,288,106	155,823,289	53,968,763	1,527,670,629	1,568,801,733
Fee and commission income	66,574,867	79,141,533	4,615,402	2,380,425	3,436,018	6,797,587	-	-	74,626,287	88,319,545
Other income	25,648,962	29,080,477	1,910,569	6,092,163	461,992.40	1,935,612.00	1,812,114	1,651,171	29,833,637	38,759,423
Total segmental income	1,256,738,326	1,299,833,475	182,674,942	260,405,987	35,081,882	80,021,305	157,635,402	55,619,934	1,632,130,553	1,695,880,701
Less: Interest expense	(719,296,331)	(724,822,924)	(105,510,528)	(168,896,316)	(25,513,375)	(56,103,688)	(100,073,365)	(30,940,900)	(950,393,598)	(980,763,828)
Segmental results	537,441,995	575,010,551	77,164,414	91,509,671	9,568,508	23,917,617	57,562,038	24,679,034	681,736,955	715,116,873
Depreciation and amortization	(12,579,743)	(9,538,536)	(1,845,269)	(1,998,260)	(446,202)	(634,890)	(1,750,179)	(541,592)	(16,621,393)	(12,713,278)
Impairment charge	(318,179,322)	(100,004,652)	(70,964,623)	(56,762,585)	(41,076,805)	(71,622,117)	487,605	1,083	(429,733,145)	(228,388,271)
Other Expenses	(370,000,532)	(329,160,822)	(50,606,665)	(76,700,183)	(12,916,029)	(25,478,135)	(35,395,141)	(14,051,062)	(468,918,366)	(445,390,202)
Income tax	-	-	-	-	-	-	-	-	-	-
Profit/(loss) after tax	(163,317,601)	136,306,541	(46,252,142)	(43,951,357)	(44,870,529)	(73,817,525)	20,904,323	10,087,463	(233,535,949)	28,625,122
Segmental assets	12,318,996,758	13,014,246,025	1,807,021,378	2,727,738,615	436,953,681	866,661,470	1,713,902,049	739,304,139	16,276,873,865	17,347,950,249
Segmental liabilities	10,490,815,211	11,232,657,296	1,538,853,182	2,353,166,059	372,108,250	747,651,679	1,459,553,082	637,783,033	13,861,329,725	14,971,258,067